

INDEPENDENT AUDITOR'S REPORT

To
The Members of Central Coalfields Limited,
Report on the Audit of Consolidated Ind AS Financial
Statements Opinion

On the basis audit queries made by the Comptroller & Auditor General of India, this revised audit report (Revising Sl. no. 1 of other matters") has been prepared in lieu of the earlier report dated 4th June 2025 to comply with observations issued by the Comptroller General of India.

We have audited the accompanying Consolidated Ind AS financial statements of **Central Coalfields Limited** (hereinafter referred to as the "Holding Company") and its subsidiary Jharkhand Central Railway Limited (Holding Company and its subsidiary together referred to as "the Group"), which comprise the consolidated Balance Sheet as at 31st March 2025, and the consolidated statement of Profit and Loss (Including Other Comprehensive Income), the consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the Consolidated Ind AS financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as "the consolidated Ind AS financial statements").

In our opinion and to the best of our information and according to the explanations given to us and based on consideration of report of the other auditor, the aforesaid consolidated Ind AS financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of their consolidated state of affairs of the Group as at March 31, 2025, of consolidated profit/loss, consolidated changes in equity and its consolidated cash flows for the year then ended.

Basis of our Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Ind AS Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the Consolidated Ind AS financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibility in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matters:

Refer Note-6.2.5: Other Current Assets - Accumulated amount of ₹ 1763.46 Crore under GST Input Tax credit is a case in reference under inverted duty structure. As per the Honorable Supreme Court decision for the refund under Inverted Duty Structure dated 13.09.2021, recoverability/adjustability of the amount stands uncertain.

Our opinion is not modified in respect of this matters.

Key Audit Matters:

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Ind AS financial statements of the current period. These matters were addressed in the context of our audit of the Consolidated Ind AS financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Key Audit Matter	Auditor's Response
Ind AS 115 "Revenue from Contracts with Customers":	Principal Audit Procedures:
In the Consolidated Ind AS financial statements in respect of accuracy of revenue recognition and adjustments for coal quality variances involves critical estimates.	We have assessed the application of the provisions of Ind AS 115 in respect of the Company's revenue recognition and appropriateness of the estimated adjustments in the process. We have selected transactions on sample basis and tested for identification of contracts involving disputes relating to grade mismatch/ slippage with respect to the terms of the contract, evaluation of the satisfaction of performance obligation checking the adjustment to the revenue due to variation in transaction price. We have performed tests to establish the basis of estimation of the consideration and whether such estimates are commensurate with the accounting policy of the Company.





Key Audit Matter	Auditor's Response
The revenue recognized by the Company in a particular contract is dependent on the sale agreement / allotment in e-auction for the respective customer. Subsequent adjustments are made to the transaction price due to grade mismatch/slippage of the transferred coal. The variation in the contract price if not settled mutually between the parties to the contract is referred to third party testing and the company estimates the adjustments required for revenue recognition pending settlement of such dispute. Such adjustments in revenue are made on estimated basis following historical trend. Refer to Note 12.1. to the Consolidated Ind AS Financial Statements	Audit Conclusion: Our procedures did not identify any material exceptions.
Evaluation of provisions and Contingent Liabilities: The Company has a number of litigations including direct and indirect taxes, various claims, etc. pending before various forums against it and the management's judgement is required for estimating the amount to be provided and/or disclosed as contingent liability. We identified this as a key audit matter because the estimates and assessment with respect to these involve a significant degree of management's judgement, interpretations, and may therefore require adequate attention to arrive at the required conclusion. (Refer Note 16.1(a) to the Consolidated Ind AS Financial Statements, read with the material Accounting Policy No. 2.22)	Our Audit procedures based on which we arrived at the conclusion regarding reasonableness of disclosure of contingent liability and recognition of provisions includes the following: We have evaluated that the control is in place in respect of estimation, assessment and disclosure of the pending litigation cases to be treated as Contingent liabilities. Reviewed the existing status considering any material developments of matters of all the opening Contingent Liabilities and those have been identified during the reporting period. We have gone through various correspondences and related documents pertaining to pending legal cases and relevant external legal opinions obtained by the management and performed substantive procedures on estimation supporting the disclosure of contingent liabilities; We have reviewed the management's judgements and assessments with respect to the provisions if any required for any such matter and also reviewed the background of those matters which have not been provided for or disclosed as contingent liability since the probability of material outflow has been considered to be remote; We have examined the adequacy and completeness of disclosures; Our Audit procedure did not identify any material exceptions.

Information Other than the Consolidated Ind AS Financial Statements and Auditor's Report Thereon

The Company's management and Board of Directors are responsible for the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexure to Board's Report, Business Responsibility Report, Corporate Governance and Shareholder's Information, but does not include the Consolidated Ind AS financial statements and our auditor's report thereon.

Our opinion on the Consolidated Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Consolidated Ind AS financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Consolidated Ind AS financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibility of Management for the Consolidated Ind AS financial statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these Consolidated Ind AS financial statements that give a true and fair view of the financial position, financial performance, including other comprehensive income



and cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act, read with relevant rules issued thereunder. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Consolidated Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Consolidated Ind AS financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to operations, or has no realistic alternative but to do so. Those Board of Directors are also responsible for overseeing the company's financial reporting process.

Auditor's Responsibility for the Audit of the Consolidated Ind AS Financial Statements

Our objectives are to obtain reasonable assurance about whether the Consolidated Ind AS financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Ind AS financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also: -

- Identify and assess the risks of material misstatement

of the Consolidated Ind AS financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated Ind AS financial statements or, if such disclosures are inadequate, to modify our opinion.

Our conclusions are based on the audit evidence obtained up to the date of our auditor's report.

Evaluate the overall presentation, structure and content of the Consolidated Ind AS financial statements, including the disclosures, and whether the Consolidated Ind AS financial statements represent the underlying transactions and events in a manner that achieves fair presentation. Materiality is the magnitude of misstatements in the Consolidated Ind AS financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Consolidated Ind AS financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Consolidated Ind AS financial statements.



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicated with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Ind AS financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other matters:

- Under Note No. 3.1 on Property, Plant and Equipment, land compensation payable to the displaced families occupying the Land is considered by CCL based on the amount of actual compensation paid. It is observed that though as per the Coal Bearing Amendment Act, 1957, government companies shall have the right to have the land vested in their favour, due to multiplicity of reasons, company only accounts for the Land when the payment is made and actual possession takes place. except in case of Forest Land/Deemed Forest Land for which forest clearances is required for mining activity.
- We did not audit the financial statements / financial information of subsidiary company; whose financial statements / financial information reflect total assets of ₹ 1589.06 Crore as at 31st March, 2025, total revenues of ₹ 6.95 Crore and net cash flows amounting to ₹ (64.37) Crore for the year ended on that date, as considered in the consolidated financial statements. These financial statements / financial information have been audited by other auditors whose reports (revised) have been furnished to us by the Management and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included

in respect of these subsidiaries, jointly controlled entities and associates, and our report in terms of sub-sections (3) and (11) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries, is based solely on the reports of the other auditors.

Our opinion is not modified in respect of above "Other Matters"

Report on Other Legal and Regulatory Requirements

- As required under section 143(5) of the Companies Act 2013, we give in the "Annexure A", a statement on the Directions/Additional Directions issued by the Comptroller and Auditor General of India after complying the suggested methodology of Audit, the action taken thereon and its impact on the account and the Consolidated Ind AS financial statements of the Company.
- As required by the Companies (Auditor's Report) Order, 2020 ("the Order") as amended issued by the Central Government of India in terms of Section 143(11) of the Act, we give in "Annexure B" a statement on the matters specified in paragraphs 3 and 4 of the Order.
- As required by section 143(3) of the Act, we report that:
 - We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid Consolidated Ind AS Financial statements read with as reported in "Emphasis of Matters" paragraph above.
 - In our opinion proper books of account as required by law relating to preparation of the aforesaid Consolidated Ind AS Financial statements have been kept by the Company so far as appears from our examination of those books and the reports of the other auditors.
 - The report on the accounts of the Subsidiary Company audited under Section 143(8) of the Act by Subsidiary company auditor has been sent to us and ha been properly dealt with by us in preparing this report.
 - The Balance Sheet, the Statement of Profit and Loss including Other Comprehensive Income, the Cash Flow Statement and the Statement of Change in Equity dealt with by this Report, including the



Statements of the Subsidiary Company Auditor, are in agreement with the books of accounts.

- (e) In our opinion, we don't have any observation which has an adverse impact on functioning of the Company.
- (f) In our opinion, the aforesaid Consolidated Ind AS financial statements comply with the Accounting Standards specified under section 133 of the Act read with relevant Rule issued thereunder.
- (g) In pursuance of the Notification No. G.S.R.463(E) dated 05.06.2015 issued by the Ministry of Corporate affairs, section 164(2) of the Act, pertaining to disqualification of Directors is not applicable to the Government company.
- (h) We don't have any qualification, reservation or adverse remark relating to the maintenance of accounts and the matters connected therewith.
- (i) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure C". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting.
- (j) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The company has disclosed its pending litigations under Additional Note 16.1(a) of the Consolidated Ind AS financial statement. The impact, if any, of these litigations will be given effect to as and when the same are determined/settled.
 - ii. The Company has made provisions as required under the applicable law or accounting standards, for material foreseeable losses if any, on long term contracts and the company did not have any derivative contracts.
 - iii. As per the written representation received from the management, there were no amounts which were required to be transferred to the

Investor Education and Protection Fund by the Company.

- iv. (a) The Management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person or entity, including foreign entity ("intermediaries"), with the understanding, whether recorded in writing or otherwise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("ultimate Beneficiaries") or provide any Guarantee, Security or the like on behalf of the ultimate Beneficiaries;
- (b) The Management has represented, that to the best of its knowledge and belief no funds have been received by the company from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, the company shall, whether, directly or indirectly, lend or invest in other person or entities identified in any manner whatsoever by or on behalf of the funding party ("ultimate Beneficiaries") or provide any Guarantee, Security or the like on behalf of the ultimate Beneficiaries;
- (c) Based on such audit procedures that have been considered reasonable and appropriate in the circumstance, nothing has come to our notice that has caused to believe that representations under Sub Clause(i) and (ii) of Rule 11(c), as provided under (a) and (b) above, contain any material misstatement.
- v. (a) The final dividend proposed in the previous year, declared and paid by the company during the year is in accordance with section 123 of the Act, as applicable.
- (b) The interim dividend declared and paid by the Company during the year is in compliance with Section 123 of the Act.
- (c) The Board of Directors of the company have



proposed final dividend of ₹ 609.12 Crore for the year which is subject to the approval of the members at the ensuing Annual General Meeting. The amount of dividend proposed is in accordance with Section 123 of the Act, as applicable.

- vi. Based on our examination which included test checks, performed by us and on the consideration of the reports of the Auditor of the Subsidiary Company, the company maintains its accounts in SAP and its accounting module has features of recording

audit trail (Edit Log) facility and the same has been operated throughout the year for all the transactions recorded in SAP. The required Internal control on Accounting System (SAP) is implemented and ensured by the Holding company, the Coal India Limited. We have not come across any instances where the audit trail feature has been tampered with and the audit trail has been preserved by the company as per statutory requirement for record retention.

For S P A N & Associates

Chartered Accountants

FRN: 302192E

Sd/-

(CA K. Chakrabarti)

Partner

M No.: 015363

UDIN: 25015363BMOKSB1896

Place: Ranchi
Date: 26.04.2025



Annexure "A" referred to in paragraph 1 of "Report on Other Legal and Regulatory Requirements" of Independent Auditor's Report on the Consolidated Ind AS financial statements for the year ended March 31, 2025, we report that; Report on directions under section 143(5) of the Companies Act, 2013 in respect of M/s Central Coalfields Limited for the year 2024-25

PART-I

SL No	Directions	Reply
i.	Whether the Company has system in place to process all the accounting transactions through IT System? If Yes, the implications of processing of accounting transactions outside IT System on the integrity of the accounts along with the financial implications. If any, may be stated.	The company, as required under section 2(13) of the Companies Act, 2013, is maintaining books of accounts and in recording its business transactions in electronic form using SAP. The computation of accounting of Performance Incentive, Closing Stock valuation and OBR is done through other IT system (Excel) and the end result is entered in the main accounting system (SAP).
ii.	Whether there is any restructuring of an existing loan or cases of waiver / write-off of debt/loans/interest etc. made by a lender to the company due to the company's inability to repay the loan? If yes, the financial impact may be stated. Whether such cases are properly accounted for? (in case, lender is Government company, then this directions is also applicable for statutory auditor of Lender Company.)	As per the information and explanation provided to us, there is no such cases.
iii.	Whether Funds (Grants/subsidy etc.) received / receivable for specific schemes from Central /State Government or its agencies were properly accounted for / utilized as per its terms and conditions? List the cases of deviation.	Funds received /receivable for specific schemes from Central /State Government or its agencies were properly accounted for / utilized as per terms and conditions and there is no deviation.



Report on additional directions under Section 143(5) of the Companies Act, 2013 in respect of M/s. Central Coalfields Limited for the year 2024-25

PART-II

SL No	Directions	Reply
1.	Whether coal stock measurement was done based on Yellow Book? Whether Physical stock measurement report are accompanied by contour maps in all cases? Whether approval of the Competent Authority was obtained for new heap, if any, created during the year	As per information and explanation given to us, coal stock measurement is done based on Yellow book. The physical stock measurements are done as per guideline of CIL Annual Coal Stock Measurement keeping in view the contour map which is accompanied with the physical stock measurement report. Further, any new heap is created only after approval of the competent authority
2.	Whether the company has conducted physical verification exercise of assets and properties at the time of merger/split/ re-structure of an area. If so, whether the concerned subsidiary followed the requisite procedure.	We have been informed that no merger/split of Area has taken place during the FY 2024-25.
3.	Whether separate Escrow Accounts for each mine has been maintained in CIL and its subsidiary companies. Also examine the utilization of the fund of the account.	As per information and explanation given to us, Escrow Accounts for 68 mines have been maintained and during the year, the CCL has received sum of ₹ 13.54 Crore (PY. ₹ Nil.) for mine closure activities after obtaining approval from the Coal Controller Office. In respect of Pindra OC Mines and Tapin South OCP, Escrow accounts have not been opened due to non-availability of Approved PR&MCP. The ministry of Coal has issued Guidelines for preparation of Mining Plan and Mine Closure plan for Coal and Lignite blocks 2025 dated 31st January, 2025. Refer para 3.5.1 of the said guidelines stipulates the following: The revised rate for deposition towards escrow account is Rupees Fourteen Lakh per hectare for open cast and Rupees Two lakh per hectare for underground Mine. The Project proponent is required to deposit the said amount for each financial year by 30th September of the respective year. Further, all operating coal/ lignite mines are to revise their escrow agreement within one year after coming into force of these guidelines. Accordingly, CCL has considered the revised rate for deposition towards Escrow account in preparation of Financial Statement for the Financial Year 2024-25. The modification of Escrow agreement in respect of each mines is to be done by January, 2026.
4.	Whether the impact of penalty for illegal mining as imposed by the Hon'ble Supreme Court/National Green Tribunal /State Pollution control Board has been duly considered are accounted for.	Pursuant to the order of the Hon'ble Supreme Court of India, District Mining Offices of Jharkhand had raised a demand of ₹ 13568.50 Crore for mining in excess of the environmental clearances limit in 42 mines. Against the said demand, the CCL has filed a revision petition before Hon'ble Coal Tribunal, Ministry of Coal, Govt. of India, the adjudicating authority under the MMDR Act. The Revisional Authority vide its interim order dt.16.01.2018 has stayed the execution of the demand till further order. Taking into consideration of the order of the Revisional Authority, Ministry of Coal, Govt. of India vide its order dated 21/12/2021 to Damodar Valley Corporation (DVC) in a similar demand notice, the said demand has neither been acknowledged as debt nor the same has been included in Contingent Liability of the Standalone Ind AS financial statement. The said matter has been disclosed under Note 16.



SL No	Directions	Reply
5.	Whether any Independent Assessment/ Certification in respect of migration process of data from Coalnet portal to SAP has been done.	As per the information and explanation received Independent Assessment/ Certification in respect of migration process of data from Coalnet portal to SAP is received on 07.4.2025.

For S P A N & Associates
Chartered Accountants
 FRN: 302192E

Sd/-
(CA K. Chakrabarti)
Partner

M No.: 015363
UDIN: 25015363BMOKSB1896

Place: Ranchi
 Date: 26.04.2025



Annexure - "B" referred to in paragraph 2 of "Report on Other Legal and Regulatory Requirements" of Independent Auditor's Report on the Consolidated Ind AS financial statements for the year ended March 31, 2025, we report that;

i. (a) A. During the course of our audit, it was observed that the Company has generally maintained proper records showing full particulars of Property plant and Equipment.

B. The Company has maintained proper records showing full particulars of Intangible Assets.

(b) According to the information as given to us, the management has conducted the Physical verification of Fixed Assets except surveyed off assets, each valuing ₹ 1.00 lakh and above, and of each asset irrespective of the value in case of additions made during the last three years, and Physical verification has been conducted at reasonable intervals. As informed to us, no material discrepancies have been noticed on such verification.

(c) According to the information and explanation given to us, land transferred from erstwhile coal companies under pre- nationalization period to CCL under Coal Mines (Nationalization Act) 1973 were vested in Coal Mines Authority Limited by Statutory Order No. GSR/345.E dated 9th July 1973, New Delhi. The Deeds are kept in Land & Revenue department. Land acquired under Coal Bearing Areas (Acquisition and Development) Act 1957 under section 9(1) of CB Act along with the S.O. are uploaded in CCL website. Once payment of final land compensation to the land oustees is made, original land documents are kept in the Land & Revenue Department of CCL. In rest of the cases, the title deeds are kept with concerned department of the CCL.

In reliance on Area Auditors Report of Piparwar, Amrapali & Chandragupta, Kaju, Magadh & Sanghmitra, Rajhara, North Karanpura and from the reports of the areas audited by us i.e. HQ, Argada, Rajrappa, Barkasayal and Barkakana CRS it is reported that the title deeds of land have not been produced for verification.

(d) According to the information & explanations as provided to us and as observed by us, no revaluation

of Property, Plant and Equipment (including right to use assets) or intangible assets of both during the year has been carried out by the company.

(e) According to the information & explanations as provided to us, no proceeding has been initiated or pending against the company for holding any benami property under the benami transactions (prohibition) act, 1988 (45 of 1988) and rules made thereunder.

ii. (a) As per policies of the company, physical Verification of Coal, Coke, etc. has been done by way of volumetric measurement with reference to contour map at each mine by the Inter-Area measurement team at different location. The Inter-Area team has given their report with respect to the same. The company is constantly following the accounting policy in this respect in case of variance up to +/- 5 % between the Book Stock & Measured Stock, Book Stock is considered for valuation of closing stock and Variance, if any within the prescribed limit, found is ignored.

In respect of Physical Verification of Stores and Spares, we have been informed that the audit is under process.

(b) No fresh working capital limit has been sanctioned to the Company during any point of time of the year from any Banks/ Financial Institutions.

iii. According to the information and explanations given to us, the Company has not made investment provided any guarantee or security or granted any loans or advances in the nature of loan, secured or unsecured, to companies, firms, Limited liability partnership or any other parties, except

(a) Maintaining a Current Account with the holding Company.

As per information and explanations given to us, the above loans/advances etc. are not prejudicial to the company's interest.



- iv. According to the information and explanations given to us, the Company has complied with the provisions of sections 185 and 186 of the Act, in respect of the loans and investments made and guarantees and security provided by it.
- v. The Company has not accepted any deposit, in terms of the directives issued by the Reserve Bank of India and the provisions of Sections 73 to 76 or any other relevant provisions of the Companies Act and the rules framed there under. However, balances in respect of amount received in the course of, or for the purpose of the business of the Company as Earnest Money Deposits, Security Deposits and Advance Deposits from Customers / Others, the Company is of the view that these deposits do not come under the purview of the Companies (Acceptance of Deposits) Rules 2014
- vi. We have broadly reviewed the cost records maintained by the company as prescribed by the Central Government under section 148 (1) of the Companies Act, 2013 and are of the opinion that prima facie the prescribed accounts and records have been made and maintained. However, we have not made a detailed examination of the cost records with the view to determine whether they are accurate or complete.

As informed to us, the cost audit has for the financial year 2024-25 is under process till the date of our audit.

- vii. (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, amounts deducted/ accrued in the books of account in respect of undisputed statutory dues including Goods & Service Tax, provident fund, Employees State Insurance, income tax, sales tax, duty of customs, service tax, duty of excise, value added tax, cess, pension fund, professional tax, MMDR, Royalty and other material statutory dues generally have been regularly deposited during the year by the Company with the appropriate authorities.

According to the information and explanations given to us, no undisputed amounts payable in respect of Goods & Service Tax, provident fund, Employees State Insurance, income-tax, sales tax, duty of customs, service tax, duty of excise, value added tax, cess, pension fund, professional tax, MMDR, Royalty and other material statutory dues

were in arrears as at 31 March 2025 for a period of more than six months from the date they became payable.

- (b) Statutory dues referred to in sub-clause (a) which have not been deposited on account of any dispute, the amounts involved and the forum where such dispute is pending is mentioned in **"Appendix-1"**
- viii. According to the information and explanations as provided to us, no transaction has been identified or reported by the tax authorities under tax assessments under the Income Tax Act, 1961 (43 of 1961) which requires to be surrendered or disclosed as income during the year.
- ix. (a) The Company has not defaulted in repayment of any loans or other borrowings or in the payment of interest thereon.
- (b) According to the information & explanations as provided to us, the company has not been declared as willful defaulter by any bank or financial institution or other lender.
- (c) According to the information & explanations as provided to us, no term loans were applied for the purpose for which the loans were obtained during the year.
- (d) According to the information & explanations as provided to us the company has not raised any fund on short term basis which have been utilized as long term basis.
- (e) According to the information & explanations as provided to us, the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures.
- (f) According to the information & explanations as provided to us, the company has not raised any loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate company.
- x. (a) According to the information and explanations given to us and on the basis of books and records examined by us, the Company did not raise any money by way of initial public offer or further public



- offer (including debt instruments) during the year. Accordingly, paragraph 3 (x) para (a) of the Order is not applicable.
- (b) According to the information and explanations given to us and on the basis of books and records examined by us, the Company has not made any preferential allotment or private placement of shares or convertible debentures (Fully, partially or optionally convertible) during the year. Accordingly, paragraph 3 (x) para (b) of the Order is not applicable
- xi. (a) According to the information and explanations given to us, no material fraud by the Company and any fraud on the Company by its officers and employees has been noticed or reported during the year.
- (b) According to the information & explanations as provided to us, no report under sub-section (12) of section 143 of the Companies act has been filed by the auditors in form ADT-4 as prescribed under rule 13 of companies (audit and auditors) rules, 2014 with the central government.
- (c) As per the whistle blower policy (approved by CIL Board in its 478th Board held on 18.10.2019), CCL has a system in place to resolve the whistle blower complaints in an appropriate and timely manner, however, as per the information provided to us, the company has not received any whistle- blower complaints.
- xii. (a) In our opinion and according to the information and explanations given to us, the Company is not a Nidhi company. Accordingly, paragraph 3(xii) of the Order is not applicable.
- xiii. According to the information and explanations given to us and based on our examination of the records of the Company, transactions with the related parties are in compliance with sections 177 and 188 of the Companies Act, 2013 where applicable and details of such transactions have been disclosed in the financial statements etc. as required by the applicable accounting standards.
- xiv (a) In our opinion, and according to information and explanations given to us, the company has an internal audit system commensurate with the size and nature of its business;
- (b) Yes, the reports of the internal auditors for the period under audit were considered by us.
- xv. According to the information and explanations given to us, the Company has not entered into non-cash transactions with directors or persons connected with him. Accordingly, paragraph 3(xv) of the Order is not applicable.
- (xvi) (a) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act 1934. Accordingly, Clause 3(xvi) of the order is not applicable.
- (b) According to the information & explanations as provided to us, the Company has not conducted any non-banking or housing finance activities.
- (c) The company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India.
- (d) The company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India neither it has more than one CIC.
- xvii. According to the information & explanations as provided to us, the Company has not incurred any cash losses in the financial year and in the immediately preceding financial year.
- xviii. According to the information & explanations as provided to us, there is no resignation of the statutory auditors during the year.
- xix. In our opinion, and according to information & explanations given to us, & on basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, no material uncertainty exist as on date of the audit report that company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date;
- (xx) (a) In respect of other than ongoing projects, the company did not have any balance of unspent amount required to be transferred to a fund specified in schedule VII to the Companies Act,



2013 within a period of six months of the expiry of the financial year in compliance with second proviso to sub-section (5) of section 135 of the said act;

- (b) In respect of ongoing projects, the company has a practice to transfer of unspent CSR amount to a special account in compliance with the provision

of sub-section (6) of section 135 of the said act. In the FY 2024-25, the company has spent excess CSR expenses and the same is considered as an asset under CSR Excess expenditure to be carried forward for ₹ 18.30 Crore.

- xxi. As we are reporting under Consolidated financial statements, hence this clause is not applicable.

For S P A N & Associates
Chartered Accountants
FRN: 302192E

Sd/-
(CA K. Chakrabarti)
Partner
M No.: 015363
UDIN: 25015363BMOKSB1896

Place: Ranchi
Date: 26.04.2025



Annexure - "C" referred to in paragraph 3(g) of "Report on Other Legal and Regulatory Requirements" of Independent Auditor's Report on the Consolidated Ind AS financial statements for the for the year ended March 31, 2025, we report that; Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of Subsection 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of 'Central Coalfields Limited' ("the Company") as of 31st March 2025 in conjunction with our audit of the Consolidated Ind AS financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Consolidated Ind AS financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Consolidated Ind AS financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that

1. pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
2. provide reasonable assurance that transactions are recorded as necessary to permit preparation of Consolidated Ind AS financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and
3. provide reasonable assurance regarding prevention



or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Consolidated Ind AS financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become

inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March 2025, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For S P A N & Associates
Chartered Accountants
FRN: 302192E

Sd/-
(CA K. Chakrabarti)
Partner
M No.: 015363
UDIN: 25015363BMOKSB1896

Place: Ranchi
Date: 26.04.2025



Appendix- "1"

**Referred to in clause vii to ANNEXURE - "B" Referred to in paragraph 2 of
"Report on Other Legal and Regulatory Requirements" of Independent Auditor's
Report on the Consolidated Ind AS financial statements for the year ended
March 31, 2025.**

DETAILS OF DISPUTED STATUTORY LIABILITIES AS ON 31.03.2025

						(₹ in Crore)	
TAX TYPE	NO. OF CASES	NAME OF COURT	PERIOD	DISPUTED AMOUNT	PAYMENT UNDER PROTEST		
ROYALTY CASES	56	Certificate Office / DMO / DD(M) - Dhanbad, Ranchi, Bokaro, Hazaribagh	73-74 to 87-88, 90-91, 92-93 to 95-96, 98-99, 99-00, 00-01 to 22-23	1,414.71	18.00		
ROYALTY CASES	5	Dy. Commissioner - Hazaribagh / Ramgarh / Jharkhand	95-96, 96-97, 08-09, 14-15, 16-17	2.33	1.18		
ROYALTY CASES	3	Commissioner - Hazaribagh / Ranchi	05-06, 08-09	3.55	0.41		
ROYALTY CASES	29	High Court, Jharkhand	87-88, 90-91 to 96-97, 98-99, 02-03, 04-05 to 22-23	1,104.11	18.73		
ROYALTY CASES	4	Supreme Court, Delhi	91-92, 99-00 & 08-09	47.40	14.12		
ROYALTY CASES	3	Nayalaya, Nilam Patra Padadhikari, Khanan North Chhota Nagpur Division Hazaribagh	15-16 to 18-19	4.28	0.53		
ROYALTY CASES	2	Ministry of Coal	10-11, 13-14 & 14-15	130.71	-		
	102			2,707.09	52.97		
SALES TAX CASES	0	Commercial Tax Officer - Ranchi, Ramgarh, Haz, Tenughat		-	-		
SALES TAX CASES	12	JCCT(A), Hazaribagh	15-16 to 17-18	159.72	0.81		
SALES TAX CASES	2	JCCT(A), Ranchi	15-16, 16-17	0.29	1.52		
SALES TAX CASES	2	CCT/DCCT, Ranchi	12-13	9.45	1.89		
SALES TAX CASES	17	CCT/DCCT- Haazaribagh, Ramgarh, Tenughat (Phusro)	06-07, 13-14 to 17-18	12.58	8.78		
SALES TAX CASES	5	TRIBUNAL, Ranchi	11-12, 13-14, 14-15	34.34	6.81		
SALES TAX CASES	0	High Court, Jharkhand		-	-		
MADA	1	High Court, Jharkhand	05-06 to 22-23	364.44	0.01		
	39			580.82	19.82		
ELECTRICITY DUTY CASES	0	DCCT		-	-		
ELECTRICITY DUTY CASES	8	JCCT(A), Hazaribagh	13-14 to 17-18	1.73	0.20		
ELECTRICITY DUTY CASES	0	CCT, Ranchi		-	-		
ELECTRICITY DUTY CASES	1	TRIBUNAL, Ranchi	14-15	0.34	-		



TAX TYPE	NO. OF CASES	NAME OF COURT	PERIOD	DISPUTED AMOUNT	PAYMENT UNDER PROTEST
ELECTRICITY DUTY CASES	0	High Court, Jharkhand		-	-
	9			2.07	0.20
SERVICE TAX & EXCISE CASES	10	Commissioner, Ranchi	13-14 to 17-18, 20-21	38.25	0.51
SERVICE TAX & EXCISE CASES	3	Asstt. Commissioner, Bokaro/ Ranchi/Hazaribagh	15-16 & 16-17	0.50	0.02
SERVICE TAX & EXCISE CASES	23	CESTAT, Kolkata	10-11 to 17-18	134.56	3.36
SERVICE TAX & EXCISE CASES	0	High Court, Jharkhand		-	-
SERVICE TAX & EXCISE CASES	0	Others		-	-
	36			173.31	3.89
CLEAN ENERGY CESS	0	High Court, Jharkhand		-	-
	0			-	-
GOODS AND SERVICE TAX	3	Appellate Authority	2017-18, 2018-19 & 2019-20	49.35	4.49
	3			49.35	4.49
INCOME TAX CASES	1	DCIT, Ranchi	AY 04-05	1.94	1.94
INCOME TAX CASES	5	CIT(A), Ranchi	AY 18-19 to 20-21, 22-23 & 23-24	260.19	-
INCOME TAX CASES	14	ITAT	AY 06-07 to 16-17, 18-19 to 20-21	574.13	546.99
INCOME TAX CASES	0	Others		-	-
	20			836.26	548.93
TOTAL				4,348.90	630.30



CONSOLIDATED BALANCE SHEET AS AT 31.03.2025

(₹ in Crore)

ASSETS	Note No.	As at 31.03.2025	As at 31.03.2024
Non-Current Assets			
Property, Plant & Equipment	3.1	9,019.98	7,056.97
Capital Work in Progress	3.2	1,880.49	1,845.55
Exploration and Evaluation Assets	3.3	611.46	629.23
Intangible Assets	3.4	20.41	24.51
Intangible Assets under Development	3.5	1369.19	787.32
Financial Assets			
(i) Investments	4.1	-	-
(ii) Loans	4.2	13.59	8.69
(iii) Other Financial Assets	4.6	2,063.99	1,897.16
Deferred Tax Assets (Net)	11.2	152.75	235.32
Non-Current Tax Assets (Net)	11.1	-	-
Other Non-current Assets	6.1	6,334.88	4,747.27
Total Non-Current Assets		21,466.74	17,232.02
Current Assets			
Inventories	5.1	1,809.30	1,316.97
Financial Assets			
(i) Investments	4.1	9.29	308.72
(ii) Trade Receivables	4.3	1,628.91	1,716.73
(iii) Cash & Cash Equivalents	4.4	1,112.95	475.29
(iv) Other Bank Balances	4.5	1,185.35	2,040.43
(v) Loans	4.2	1.52	1.01
(vi) Other Financial Assets	4.6	109.31	127.57
(c) Current Tax Assets (Net)	11.1	415.40	527.57
(d) Other Current Assets	6.2	3,452.72	3,037.60
Total Current Assets		9,724.75	9,551.89
Total Assets		31,191.49	26,783.91



CONSOLIDATED BALANCE SHEET (Contd.)

(₹ in Crore)

EQUITY AND LIABILITIES		As at 31.03.2025	As at 31.03.2024
Equity			
Equity Share Capital	71	1,880.00	1,880.00
Other Equity	7.2	14,595.36	11,713.42
Equity attributable to Equityholders of the Company		16,475.36	13,593.42
Non-Controlling Interest	7.3	200.50	198.78
Total Equity		16,675.86	13,792.20
Liabilities			
Non-Current Liabilities			
Financial Liabilities			
(i) Borrowings	8.1	1,029.17	478.38
(ii) Lease Liabilities	8.2	0.25	-
(iii) Other Financial Liabilities	8.4	176.96	148.02
Provisions	9.1	6,188.86	5,335.39
Deferred Tax Liabilities (Net)	11.2	-	-
Other Non-Current Liabilities	10.1	332.80	372.82
Total Non-Current Liabilities		7,728.04	6,334.61
Current Liabilities			
Financial Liabilities			
(i) Borrowings	8.1	-	-
(ii) Lease Liabilities	8.2	0.23	-
(iii) Trade Payables	8.3		
(a) Total outstanding dues of micro, small and medium enterprises		9.59	11.78
(b) Total outstanding dues of Creditors other than micro, small and medium enterprises		1,006.23	1,024.95
(iv) Other Financial Liabilities	8.4	2,302.31	1,862.97
Other Current Liabilities	10.2	2,808.80	2,966.45
Provisions	9.1	660.43	790.95
Current Tax Liabilities (Net)	11.1	-	-
Total Current Liabilities		6,787.59	6,657.10
Total Equity and Liabilities		31,191.49	26,783.91

The Accompanying Note No. 1 to 16 form an integral part of the Financial Statements.

In terms of our Report of even date

On behalf of the Board

For SPAN & ASSOCIATES
CHARTERED ACCOUNTANTS
 Firm Reg.No. 302192E

Sd/-
(Nilendu Kumar Singh)
 Chairman-Cum-Managing Director
 DIN- 09847503

Sd/-
(Pawan Kumar Mishra)
 Director (Finance)
 DIN- 09665365

Sd/-
(CA K. Chakrabarti)
 Partner
 (Membership No. 015363)

Sd/-
(Sushil Kumar Sinha)
 General Manager (Finance)

Sd/-
(Amaresh Pradhan)
 Company Secretary
 M. No.-F11264

Place : Ranchi
 Dated : 25th April, 2025



CONSOLIDATED STATEMENT OF PROFIT AND LOSS

FOR THE YEAR ENDED 31.03.2025

		(₹ in Crore)	
	Notes	For the year ended 31.03.2025	For the year ended 31.03.2024
Revenue from Operations (Net of Levies)	12.1		
Sales		15,468.86	15,291.52
Other Operating Revenue		1,451.13	1,404.83
(I) Revenue from Operations (Net of Levies)		16,919.99	16,696.35
(II) Other Income	12.2	723.95	965.13
(III) Total Income (I+II)		17,643.94	17,661.48
(IV) EXPENSES			
Cost of Materials Consumed	13.1	1,006.68	971.85
Changes in inventories of finished goods/work in progress and Stock in trade	13.2	(495.77)	(181.50)
Employee Benefits Expense	13.3	6,721.38	6,862.80
Finance Costs	13.4	94.93	76.33
Depreciation/Amortization/ Impairment	13.5	942.78	763.45
Stripping Activity Adjustments	13.6	(167.03)	87.93
Contractual Expenses	13.7	2,358.99	2,159.50
Other Expenses	13.8	1,763.19	2,191.22
Total Expenses (IV)		12,225.15	12,931.58
(V) Profit before Exceptional items and Tax (III-IV)		5,418.79	4,729.90
(VI) Share of joint venture profit/(loss)		-	-
(VII) Profit before Tax (V-VI)		5,418.79	4,729.90
(VIII) Tax expense	14.1		
Current Tax		1,296.69	1,015.02
Deferred Tax		82.57	53.83
(IX) Profit for the year (VII-VIII)		4,039.53	3,661.05
Other Comprehensive Income	15.1		
Items that will not be reclassified to profit or loss		(74.93)	(11.82)
Less: Income tax relating to items that will not be reclassified to profit or loss		(18.86)	(2.97)
Items that will be reclassified to profit or loss		-	-
Less: Income tax relating to items that will be reclassified to profit or loss		-	-
(X) Total Other Comprehensive Income		(56.07)	(8.85)
(XI) Total Comprehensive Income for the year (XI+X) (Comprising Profit /(Loss) and Other Comprehensive Income for the year)		3,983.46	3,652.20



CONSOLIDATED STATEMENT OF PROFIT AND LOSS (Contd.)

		(₹ in Crore)	
	Notes	For the year ended 31.03.2025	For the year ended 31.03.2024
Profit attributable to:			
Owners of the Company		4,037.81	3,660.14
Non-Controlling Interest		1.72	0.91
		4,039.53	3,661.05
Other Comprehensive Income attributable to:			
Owners of the Company		(56.07)	(8.85)
Non-Controlling Interest		-	-
		(56.07)	(8.85)
Total Comprehensive Income attributable to:			
Owners of the Company		3,981.74	3,651.29
Non-Controlling Interest		1.72	0.91
(XII) Earnings per Equity Share (Face value ₹ 1000 each):			
(1) Basic (₹)		2,147.77	1,946.88
(2) Diluted (₹)		2,147.77	1,946.88

The Accompanying Note No. 1 to 16 form an integral part of the Financial Statements.

In terms of our Report of even date

For SPAN & ASSOCIATES
CHARTERED ACCOUNTANTS
 Firm Reg.No. 302192E

Sd/-
(CA K. Chakrabarti)
 Partner
 (Membership No. 015363)

On behalf of the Board

Sd/-
(Nilendu Kumar Singh)
 Chairman-Cum-Managing Director
 DIN- 09847503

Sd/-
(Sushil Kumar Sinha)
 General Manager (Finance)

Sd/-
(Pawan Kumar Mishra)
 Director (Finance)
 DIN- 09665365

Sd/-
(Amaresh Pradhan)
 Company Secretary
 M. No.-F11264

Place : Ranchi
 Dated : 25th April, 2025



STATEMENT OF CASH FLOW (INDIRECT METHOD)-CONSOLIDATED

FOR THE YEAR ENDED 31.03.2025

	(₹ in Crore)	
	For the year ended 31.03.2025	For the year ended 31.03.2024
CASH FLOW FROM OPERATING ACTIVITIES		
Profit before tax	5,418.79	4,729.90
Adjustments for :		
Share of Joint Venture	-	-
Depreciation, amortisation and impairment expenses	942.78	763.45
Interest and other income from investment	(362.99)	(358.31)
Finance cost	94.98	76.33
(Profit)/Loss on sale of Property, Plant and Equipment	4.61	4.13
Allowances & Provision	2.77	52.43
Write Off	-	(168.17)
Provision written back	153.96	205.19
Stripping Activity Adjustment	(167.03)	87.93
Foreign Exchange rate variance	-	-
Cash flows from operating activities before changes in following assets and liabilities	6,087.87	5,392.88
Trade Receivables	96.77	1,403.03
Inventories	(501.56)	(344.47)
Loans and Advances and other financial assets	23.83	40.24
Other current and non current Assets	(502.36)	204.23
Trade Payables	(20.91)	(278.39)
Other financial liabilities	452.99	181.36
Other current and non current liabilities	(197.67)	(1,139.92)
Provisions	569.84	(1,276.00)
Cash Generated from Operation	6,008.80	4,182.96
Income Tax (Paid)/Refund	(1,165.66)	(1,471.98)
Net Cash Flow from Operating Activities (A)	4,843.14	2,710.98
CASH FLOW FROM INVESTING ACTIVITIES		
Payments for Property, Plant and Equipments and Intangible assets	(4,921.97)	(3,551.79)
Proceeds from Sale of Property, Plant and Equipments	8.96	13.65
Payments for Exploration and Evaluation Asset	(77.23)	(58.94)
Realisation of deposits/(Deposits) with Banks	710.18	294.39
Proceeds from/(Investment in) Mutual Fund, Shares etc.	314.99	450.01
Interest received on Investment	312.02	306.98
Net Cash from Investing Activities (B)	(3,653.05)	(2,545.70)



STATEMENT OF CASH FLOW (INDIRECT METHOD) -CONSOLIDATED (Contd.)

(₹ in Crore)

	For the year ended 31.03.2025	For the year ended 31.03.2024
CASH FLOW FROM FINANCING ACTIVITIES		
Proceeds from /(Repayment of) non current borrowings	550.79	353.26
Proceeds from /(Repayment of) current borrowings	-	(0.03)
Repayment of lease liabilities (including interest)	0.26	-
Interest paid	(3.68)	-
Dividend paid on Equity shares	(1,099.80)	(1,023.66)
Buyback of Equity Share Capital	-	-
Tax on Buyback of Equity Share Capital	-	-
Net Cash used in Financing Activities (C)	(552.43)	(670.43)
Net Increase / (Decrease) in Cash & Bank Balances (A+B+C)	637.66	(505.15)
Cash & cash equivalents as at the beginning of the year	475.29	980.44
Cash & cash equivalents as at the end of the year	1,112.95	475.29
Components of Cash and Cash Equivalents		
Balances with Banks		
in Deposit Accounts	4.35	17.15
in Current Accounts	634.49	458.00
Bank Balances outside India	-	-
ICDs with Primary Dealers	440.00	-
Cheques, Drafts and Stamps in hand	-	-
Cash on hand	-	-
Cash on hand outside India	-	-
Others	34.11	0.14
Total (Refer note 4.4 and note 8.1 for components of Cash and Cash Equi.)	1,112.95	475.29

- The above statement of cash flow is prepared in accordance with the Indirect Method prescribed in Ind AS 7 - 'Statement of Cash flows.'
- Cash outflow is of ₹ 58.08 Crore on account of Corporate Social Responsibility for the year ended 31.03.2025 (PY ₹ 47.27 Crore).
- The Accompanying Note No. 1 to 16 form an integral part of the Consolidated Financial Statements.

In terms of our Report of even date

On behalf of the Board

For SPAN & ASSOCIATES
CHARTERED ACCOUNTANTS
 Firm Reg.No. 302192E

Sd/-
(Nilendu Kumar Singh)
 Chairman-Cum-Managing Director
 DIN- 09847503

Sd/-
(Pawan Kumar Mishra)
 Director (Finance)
 DIN- 09665365

Sd/-
(CA K. Chakrabarti)
 Partner
 (Membership No. 015363)

Sd/-
(Sushil Kumar Sinha)
 General Manager (Finance)

Sd/-
(Amaresh Pradhan)
 Company Secretary
 M. No.-F11264

Place : Ranchi

Dated : 25th April, 2025

STATEMENT OF CHANGES IN EQUITY - CONSOLIDATED

FOR THE YEAR ENDED 31ST MARCH 2025

A. EQUITY SHARE CAPITAL

As at 31.03.2025

(₹ in Crore)

Particulars	Balance as at 01.04.2024	Changes In Equity Share Capital during the year	Balance as at 31.03.2025
18800000 Equity Shares of ₹1000/- each	1,880.00	-	1,880.00

As at 31.03.2024

(₹ in Crore)

Particulars	Balance as at 01.04.2023	Changes In Equity Share Capital during the year	Balance as at 31.03.2024
18800000 Equity Shares of ₹1000/- each	940.00	940.00	1,880.00

B. OTHER EQUITY

As at 31.03.2025

(₹ in Crore)

Particulars	General Reserve	Retained Earnings	Remeasurement of Defined Benefits Plans (net of Tax) - (OCI)	Equity Attributable to Equity Shareholders	Non-Controlling Interest	Total
Balance as at 01.04.2024	1,589.58	10,180.57	(56.73)	11,713.42	198.78	11,912.20
Changes in accounting policy or prior period errors	-	-	-	-	-	-
Restated balance as at 01.04.2024	1,589.58	10,180.57	(56.73)	11,713.42	198.78	11,912.20
Total Comprehensive Profit	-	4,037.81	(56.07)	3,981.74	1.72	3,983.46
Interim Dividend	-	(601.60)	-	(601.60)	-	(601.60)
Final Dividend	-	(498.20)	-	(498.20)	-	(498.20)
Addition during the year	-	-	-	-	-	-
Adjustments during the year	-	-	-	-	-	-
Transfer to / from General reserve	-	-	-	-	-	-
Balance as at 31.03.2025	1,589.58	13,118.58	(112.80)	14,595.36	200.50	14,795.86



STATEMENT OF CHANGES IN EQUITY - CONSOLIDATED (Contd.)

As at 31.03.2024

(₹ in Crore)

Particulars	General Reserve	Retained Earnings	Remeasurement of Defined Benefits Plans (net of Tax) - (OCI)	Equity Attributable to Equity Shareholders	Non-Controlling Interest	Total
Balance as at 01.04.2023	2,529.58	6,686.66	(47.88)	9,168.36	192.87	9,361.23
Changes in accounting policy or prior period errors	-	857.43	-	857.43	-	857.43
Restated balance as at 01.04.2023	2,529.58	7,544.09	(47.88)	10,025.79	192.87	10,218.66
Profit for the year	-	3,660.14	(8.85)	3,651.29	0.91	3,652.20
Interim Dividend	-	(600.66)	-	(600.66)	-	(600.66)
Final Dividend	-	(423.00)	-	(423.00)	-	(423.00)
Addition during the year	-	-	-	-	5.00	5.00
Adjustments during the year	-	-	-	-	-	-
Transfer to / from General reserve	(940.00)	-	-	(940.00)	-	(940.00)
Balance as at 31.03.2024	1,589.58	10,180.57	(56.73)	11,713.42	198.78	11,912.20

Refer Note 7.2 for dividend and the nature and purpose of Reserves and Surplus.

The Accompanying Note No. 1 to 16 form an integral part of the Consolidated Financial Statements.

In terms of our Report of even date

For SPAN & ASSOCIATES
CHARTERED ACCOUNTANTS
 Firm Reg.No. 302192E

Sd/-
(CA K. Chakrabarti)
 Partner
 (Membership No. 015363)

On behalf of the Board

Sd/-
(Nilendu Kumar Singh)
 Chairman-Cum-Managing Director
 DIN- 09847503

Sd/-
(Sushil Kumar Sinha)
 General Manager (Finance)

Sd/-
(Pawan Kumar Mishra)
 Director (Finance)
 DIN- 09665365

Sd/-
(Amaresh Pradhan)
 Company Secretary
 M. No.-F11264

Place : Ranchi

Dated : 25th April, 2025

Significant Accounting Policies

NOTES TO THE FINANCIAL STATEMENTS (CONSOLIDATED)

Note 1 (A): CORPORATE INFORMATION

Central Coalfields Limited (CCL), a Miniratna company, is a 100% subsidiary of Coal India Limited (A Government of India Undertaking) having its registered office at Darbhanga House, Ranchi, Jharkhand – 834029.

The Company is mainly engaged in mining and production of Coal and also operates Coal washeries. The major consumers of the company are power and steel sectors. Consumers from other sectors include cement, fertilisers, brick kilns etc.

CCL has a joint venture agreement with IRCON International Limited & Government of Jharkhand named Jharkhand Central Railway Limited (JCRL). The basic objective of JCRL is to build, construct, operate and maintain identified Rail Corridor Projects that are critical for evacuation of coal from mines in the State of Jharkhand which shall be used for both freight and passenger services and to develop required rail infrastructure including construction of railway lines together with all related facilities etc.

The Consolidated financial statements for the year ended March 31, 2025, were approved for issue by the Board of Directors of the company on 25th April 2025.

B. Statement of Compliance and Recent Accounting Pronouncement

i) Statement of Compliance

These consolidated financial statements have been prepared in accordance with the Indian Accounting Standards (hereinafter referred to as the "Ind AS") as notified under the Companies (Indian Accounting Standards) Rules, 2015 (as amended) read with Section 133 of the Companies Act, 2013 ("the Act"). The Ind ASs issued, notified and made effective till the financial statements are authorised and have been considered for the purpose of preparation of these financial statements.

The accounting policies are applied consistently except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use.

ii) Application of new and revised standards:

Ministry of Corporate Affairs (MCA) notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules, from time to time. MCA has not notified any new standards or amendments to the existing standards which are effective from 1 April 2025.

Note 2: MATERIAL ACCOUNTING POLICY INFORMATION

2.1 Basis of preparation of financial statements

The Consolidated Financial Statements have been prepared under the historical cost convention on accrual basis except certain financial instruments that are measured in terms of relevant Ind AS at amortized costs or fair value at the end of each reporting period.

Historical cost convention is generally based on the fair value of the consideration given in exchange for goods and services.

The functional currency of the company is determined as the currency of the primary economic environment in which it operates. The Consolidated Financial Statements are presented in Indian Rupees (₹) and all values are rounded off to the 'rupees in crore' up to two decimal points.

2.2 Basis of consolidation

2.2.1 Subsidiaries

- i. Subsidiaries are entities over which the Group has control and the Control is achieved when the group is exposed or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its:
 - a. Power over the investee;
 - b. Exposure or rights to variable returns from its involvement with the investee;
 - c. The ability to use its power over the investee to affect its returns.



Subsidiaries are consolidated from the date control over the subsidiary is acquired and they are discontinued from the date of cessation of control.

- ii. The Group combines the financial statements of the Holding and its subsidiaries based on a line-by-line consolidation by adding together the book value of like items of assets and liabilities, revenue and expenses as per the respective financial statements. Intra-group balances, intra-group transactions, and the unrealised profits on stocks arising out of intra-group transactions have been eliminated.
- iii. The consolidated financial statements are prepared using uniform accounting policies for similar material transactions and other events in similar circumstances otherwise as stated elsewhere.
- iv. The difference between the costs of investment in the subsidiaries, over the net assets at the time of acquisition of shares in the subsidiaries is recognised in the consolidated financial statements as Goodwill or Capital reserve as the case may be. The said goodwill is not amortised, however, it is tested for impairment at each balance sheet date, and impairment loss, if any is recognised in the consolidated financial statements.
- v. Non-controlling interest's share of the net profit of subsidiaries for the year is identified and adjusted against the revenue of the Group in order to arrive at the net revenue attributable to the owners of the Holding Company. The excess of loss for the year over the non-controlling interest is adjusted in the owner's interest.
- vi. Non-controlling interest's share of net assets of subsidiaries is identified and presented in the Consolidated Balance Sheet separate from liabilities and the equity of the Holding Company's shareholders.
- vii. A change in the ownership interest of a subsidiary which does not result in a loss of control, is accounted for as an equity transaction.
- viii. If the Group loses control over a subsidiary, it derecognizes the assets, liabilities, carrying amount of any non-controlling interests and the cumulative translation differences recorded in equity. Any interest retained in the former subsidiary is measured at fair value at the date the control is lost, with the resulting gain/ loss recognised in the statement of Profit & Loss.

Business Combination and Goodwill

The Group except for combination of group entities which are under common control applies the acquisition method in accounting for business combinations. The consideration transferred by the Group to obtain control of a subsidiary is calculated as the sum of the acquisition-date fair values of assets transferred, liabilities incurred and the equity interests issued by the Group, which includes the fair value of any asset or liability arising from a contingent consideration arrangement. Acquisition costs are expensed as incurred. Assets acquired and liabilities assumed are generally measured at their acquisition date fair values.

In case of combination of entities under control, business combination are accounted for under pooling of interest method whereby the assets and liabilities are combined at the carrying amount and no adjustments are made to reflect their fair values or recognise any new assets or liabilities.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the combination date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquire are assigned to those units.

2.2.2 Associates

Associates are all entities over which the Company has significant influence but no control or joint control. This is generally the case where the Company holds between 20% and 50% of the voting rights.

Investments in associates are accounted for using the equity method of accounting, after initially being recognised at cost, except when the investment, or a portion thereof, classified as held for sale, in which case it is accounted in accordance with Ind AS 105.

The Group impairs its net investment in the associates on the basis of objective evidence.

2.2.3 Joint arrangements

Joint arrangements are those arrangements where the Group is having joint control with one or more other parties.



Joint control is the contractually agreed sharing of control of the arrangement which exist only when decisions about the relevant activities require the unanimous consent of the parties sharing control.

Joint Arrangements are classified as either joint operations or joint ventures. The classification depends on the contractual rights and obligations of each investor, rather than the legal structure of the joint arrangement.

2.2. 4 Joint Operations

A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets, and obligations for the liabilities, relating to the arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The group recognises its direct right to the assets, liabilities, revenues and expenses of joint operations and its share of any jointly held or incurred assets, liabilities, revenues and expenses. These have been incorporated in the financial statements on line by line basis with similar items in the consolidated financial statements or otherwise under the appropriate heads of accounts.

2.2.5 Joint ventures

- i) A joint venture is a joint arrangement whereby parties that have joint control of the arrangement having rights to the net assets of the arrangement. Interests in joint ventures are initially recognised at cost and thereafter accounted for using the equity method.
- ii) Investments in Joint venture are accounted for using the equity method of accounting, after initially being recognized at cost, except when the investment, or a portion thereof, is classified as held for sale, in which case it is accounted in accordance with Ind AS 105.
- iii) The Group impairs its net investment in the joint venture on the basis of objective evidence, When the Group's share of losses in a joint venture equals or exceeds its investment in the entity, including any other unsecured long-term receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the joint venture.
- iv) Unrealised gains on transactions between the Group

and its joint ventures are eliminated to the extent of the Group's interest in these entities. Unrealised losses on transactions between the Group and its joint ventures are also eliminated to the extent of the Group's interest in these entities unless the transaction provides evidence of an impairment of the asset transferred. Where the accounting policies of joint ventures are different from those of the Group, appropriate adjustments are made for like transactions and events in similar circumstances to ensure conformity with the policies adopted by the group.

- v) Any gain or loss on dilution arising on a reduced stake in the joint venture, but still retaining the joint control, is recognized in the Statement of Profit and Loss.
- vi) When the investment ceases to be a joint venture and the retained interest is a financial asset, the Group measures the retained interest at fair value with the change in carrying amount recognised in the Statement of Profit and Loss. The fair value of the retained interest becomes the initial carrying amount for the purpose of accounting for the retained interest as a financial asset. Any amounts previously recognised in other comprehensive income in respect of that joint venture are reclassified to the Statement of Profit and Loss.

2.2.6 Equity Method

Under the equity method of accounting, the investments are initially recognised at cost and adjusted thereafter for the post-acquisition changes in the Group's share of the net assets of the investee. The Group's share of the post-acquisition profits or losses and other comprehensive income of the investee are included in the Statement of Profit and Loss and Other Comprehensive Income of the Group. Dividends received or receivable from joint ventures are recognised as a reduction in the carrying amount of the investment.

When the Group's share of losses in an equity-accounted investment equals or exceeds its interest in the entity, including any other unsecured long-term receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the other entity

2.2.7 Changes in ownership interests

The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions



with equity owners of the Group. A change in ownership interest results in an adjustment between the carrying amounts of the controlling and non-controlling interests to reflect their relative interests in the subsidiary. Any difference between the amount of the adjustment to non-controlling interests and any fair value of consideration paid or received is recognised within equity

When the Group ceases to consolidate or equity account for an investment because of a loss of control, joint control or significant influence, any retained interest in the entity is remeasured to its fair value with the change in carrying amount recognised in profit or loss. This fair value becomes the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

If the ownership interest in a joint venture or an associate is reduced but joint control or significant influence is retained, only a proportionate share of the amounts previously recognised in other comprehensive income are reclassified to profit or loss where appropriate.

2.3 Current and Non-Current Classification

The Company presents assets and liabilities in the Balance Sheet based on current/ non-current classification. An asset is treated as current by the Company when:

- It expects to realise the asset, or intends to sell or consume it, in its normal operating cycle;
- It holds the asset primarily for the purpose of trading;
- It expects to realise the asset within twelve months after the reporting period; or
- The asset is cash or a cash equivalent (as defined in Ind AS 7) unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period. All other assets are classified as non-current.

A liability is treated as current by the Company when:

- It expects to settle the liability in its normal operating cycle;

- It holds the liability primarily for the purpose of trading;
- The liability is due to be settled within twelve months after the reporting period; or
- It does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

All other liabilities are classified as non-current.

Having regard to the nature of the business being carried out by the group, the group has ascertained its operating cycle as twelve months for the purpose of current and non-current classification of assets and liabilities.

2.4 Revenue recognition

Revenue from contracts with customers

Revenue is principally derived from the sale of coal, related ancillary services, and products. Revenue from sales of products is recognized when control of the products has transferred, being when the products are delivered to the customer. Delivery occurs when the products have been shipped or delivered to the specific location as the case may be, and the risks of loss have been transferred in accordance with the sales contract. The amount of revenue recognized reflects the consideration to which the Group is or expects to be entitled in exchange for those goods or services. Accumulated experience is used to estimate and provide for the variable consideration as per the sales contract, and revenue is only recognized to the extent that it is highly probable that a significant reversal will not occur. The amount of consideration does not contain a significant financing component as payment terms are less than one year as per the sales contracts.

The group has a number of long-term contracts to supply products to customers in future periods. Generally, revenue is recognized on an invoice basis, as each unit sold is a separate performance obligation, and therefore the right to consideration from a customer corresponds directly with our performance completed to date.

Interest

Interest income from a financial asset is recognized when it is probable that the economic benefits will flow to the Group and the amount of income can be measured reliably.



Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts the estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

Dividends

Dividend is recognised when the company's right to receive the payment is established, which is generally when shareholders approve the dividend.

Other Claims

Revenue in respect of Other claims (including interest on delayed realization from customers) are recognized only when there is reasonable certainty as to the ultimate collection and the amount can be measured reliably.

2.5 Grants from Government

Government Grants are not recognised until there is reasonable assurance that the Group will comply with the conditions attached to them and that there is reasonable certainty that grants will be received.

Government grants are recognised in Statement of Profit and Loss on a systematic basis over the periods in which the Group recognises the related expenses or costs for which the grants are intended to compensate.

Government Grants related to assets are presented in the balance sheet by setting up the grant as deferred income and are recognised in Statement of Profit and Loss on systematic basis over the useful life of asset.

Grants related to income (i.e. grant related to other than assets) are presented as part of statement of profit and loss under the head 'Other Income.'

A government grant/assistance that becomes receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Group with no future related costs, is recognised in profit or loss of the period in which it becomes receivable.

The Government grants or grants in the nature of promoter's contribution is recognised directly in "Capital Reserve" which forms part of the "Shareholders fund".

2.6 Leases

A contract is, or contains, a lease if the contract conveys

the right to control the use of an identified asset for a period of time in exchange for consideration.

2.6.1 Group as a lessee

The Group assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assesses whether: (i) the contract involves the use of an identified asset (ii) the Group has substantially all of the economic benefits from use of the asset through the period of the lease and (iii) the Group has the right to direct the use of the asset.

At the commencement date, a lessee shall recognise a right-of-use asset at cost and a lease liability at the present value of the lease payments that are not paid at that date for all leases unless the lease term is 12 months or less or the underlying asset is of low value.

Subsequently, right-of-use asset is measured using cost model whereas, the lease liability is measured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and re-measuring the carrying amount to reflect any reassessment or lease modifications

The lease liability is initially measured at amortized cost at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates of these leases. Lease liabilities are premeasured with a corresponding adjustment to the related right of use asset if the Group changes its assessment if whether it will exercise an extension or a termination option. Lease liability and ROU asset are separately presented in the Balance Sheet and lease payments are classified as financing cash flows. Lease liability obligations is presented separately under the head "Financial Liabilities".

Finance charges are recognised in finance costs in the Statement of Profit and Loss, unless the costs are included in the carrying amount of another asset applying other applicable standards.

Right-of-use asset is depreciated over the useful life of the asset, if the lease transfers ownership of the asset to the lessee by the end of the lease term or if the cost of the



right-to-use asset reflects that the lessee will exercise a purchase option. Otherwise, the lessee shall depreciate the right-to-use asset from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

2.6.2 Group as a lessor

Assets are given on lease either as finance lease or operating lease.

Finance Lease: A lease is classified as finance lease if it transfers substantially all the risks and rewards incidental to ownership of an underlying asset. Initially, asset held under finance lease is recognised in Balance Sheet and presented as a receivable at an amount equal to the net investment in the lease. Finance income is recognised over the lease term, based on a pattern reflecting a constant periodic rate of return on Group's net investment in the lease.

Operating Lease: A lease which is not classified as a finance lease is an operating lease. The Group recognises lease payments in case of assets given on operating leases as income on a straight line basis.

2.7 Non-current assets held for sale

The Group classifies non-current assets and (or disposal groups) as held for sale if their carrying amounts will be recovered principally through a sale rather than through continuing use. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn. Management must be committed to the sale expected to be completed within one year from the date of classification.

For these purposes, sale transactions include exchanges of non-current assets for other non-current assets when the exchange has commercial substance. The criteria for held for sale classification is regarded met only when the assets or disposal group is available for immediate sale in its present condition, subject only to terms that are usual and customary for sales of such assets (or disposal groups), its sale is highly probable; and it will genuinely be sold, not abandoned. The Group treats sale of the asset or disposal group to be highly probable when:

- The appropriate level of management is committed to a plan to sell the asset (or disposal group),

- An active programme to locate a buyer and complete the plan has been initiated
- The asset (or disposal group) is being actively marketed for sale at a price that is reasonable in relation to its current fair value,
- The sale is expected to qualify for recognition as a completed sale within one year from the date of classification, and
- Actions required to complete the plan indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn.

Non-current asset or disposal groups classified as held for sale are measured at the lower of carrying amount and fair value less costs to sell.

2.8 Property, Plant and Equipment (PPE) and Depreciation

An item of PPE is recognized as an asset if it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably.

PPE are initially measured at cost of acquisition/ construction including decommissioning or restoration cost wherever required. Cost of land includes expenditures which are directly attributable to the acquisition of the land like, rehabilitation expenses, resettlement cost and compensation in lieu of employment incurred for concerned displaced persons etc.

After recognition, an item of all other Property, plant and equipment are carried at its cost less any accumulated depreciation and any accumulated impairment losses under Cost Model. The cost of an item of property, plant and equipment comprises:

- a) Its purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.
- b) Any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.
- c) The initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located, the obligation for which the Group incurs



either when the item is acquired or as a consequence of having used the item during a particular period for purposes other than to produce inventories during that period.

- d) Interest on Borrowings utilized to finance the construction of qualifying assets are capitalised as part of cost of the asset until such time that the asset is ready for its intended use.

Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item is depreciated separately. However, significant part(s) of an item of PPE having same useful life and depreciation method are grouped together in determining the depreciation charge.

Costs of the day-to-day servicing described as 'repairs and maintenance' are recognised in the statement of profit and loss in the period in which the same are incurred.

Subsequent cost of replacing parts which are significant in relation to the total cost of an item of property, plant and equipment are recognised in the carrying amount of the item, if it is probable that future economic benefits associated with the item will flow to the Group; and the cost of the item can be measured reliably. The carrying amount of those parts that are replaced is derecognised in accordance with the derecognition policy mentioned below.

When major inspection is performed, its cost is recognised in the carrying amount of the item of property, plant and equipment as a replacement if it is probable that future economic benefits associated with the item will flow to the Group; and the cost of the item can be measured reliably. Any remaining carrying amount of the cost of the previous inspection (as distinct from physical parts) is derecognised.

An item of Property, plant or equipment is derecognised upon disposal or when no future economic benefits are expected from the continuing use of assets. Any gain or loss arising on such derecognition of an item of property plant and equipment is recognised in profit and Loss.

Depreciation on property, plant and equipment, except freehold land, is provided as per cost model on straight line basis over the estimated useful lives of the asset as follows:

Other Land

(incl. Leasehold Land) : Life of the project or lease term whichever is lower

Building (incl. Roads) : 3-60 years

Telecommunication : 3-9 years

Railway Sidings : 15 years

Plant and Equipment : 1-30 years

(incl. Railway Corridor, Others)

Computers and Laptops : 3 Years

Office equipment : 3-5 years

Furniture and Fixtures : 10 years

Vehicles : 8-10 years

Based on technical evaluation, the management believes that the useful lives given above best represent the period over which the management expects to use the asset. Hence the useful lives of the assets may be different from the useful lives as prescribed under Part C of Schedule II of the companies act, 2013.

The estimated useful life of the assets is reviewed at the end of each financial year.

The residual value of Property, plant and equipment is considered as 5% of the original cost of the asset except for some items of assets such as other land, site restoration asset, other mining infrastructure, surveyed off assets. Useful life has been technically estimated to be one year with nil residual value for items such as Coal tub, winding ropes, haulage ropes, stowing pipes and safety lamps etc.

Depreciation on the assets added/disposed of during the year is provided on pro-rata basis with reference to the month of addition / disposal.

Value of "Other Land" includes land acquired under Coal Bearing Area (Acquisition & Development) (CBA) Act, 1957, Land Acquisition Act, 1894, Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement (RFCTLAAR) Act, 2013, Long term transfer of government land etc., which are amortised on the basis of the balance life of the project; and in case of Leasehold land such amortisation is based on lease period or balance life of the project whichever is lower.



Assets that are fully depreciated and retired from active use are disclosed separately as surveyed off assets at its residual value under Property, Plant Equipment and are tested for impairment.

Transition to Ind AS

The Group elected to continue with the carrying value as per the cost model (for all of its property, plant and equipment as recognised in the financial statements as at the date of transition to Ind ASs, measured as per the previous GAAP.

2.9 Mine Closure, Site Restoration and Decommissioning Obligation

The Group's obligation for land reclamation and decommissioning of structures consists of spending at both surface and underground mines in accordance with the guidelines from the Ministry of Coal, Government of India. The Group estimates its obligation for Mine Closure, Site Restoration and Decommissioning based upon detailed calculation and technical assessment of the amount and timing of the future cash spending to perform the required work. Mine Closure expenditure is provided as per approved Mine Closure Plan. The estimates of expenses are escalated for inflation, and then discounted at a discount rate that reflects current market assessment of the time value of money and the risks, such that the amount of provision reflects the present value of the expenditures expected to be incurred to settle the obligation. The Group records a corresponding asset associated with the liability for final reclamation and mine closure. The obligation and corresponding assets are recognised in the period in which the liability is incurred. The asset representing the total site restoration cost (as estimated by Central Mine Planning and Design Institute Limited) as per the mine closure plan is recognised as a separate item in PPE and amortised over the balance project/mine life.

The value of the provision is progressively increased over time as the effect of discounting unwinds; creating an expense recognised as a financial expense.

Further, a specific escrow fund account is maintained for this purpose as per the approved mine closure plan.

The progressive mine closure expenses incurred on year to year basis forming part of the total mine closure obligation are initially recognised as receivable from the escrow account and thereafter adjusted with the obligation in the year in which the amount is withdrawn after the

concurrence of the certifying agency.

2.10 Exploration and Evaluation Assets

Exploration and evaluation assets comprise costs that are attributable to the search for coal and related resources, pending the determination of technical feasibility and the assessment of commercial viability of an identified resource which comprises inter alia the following:

- Acquisition of rights to explore
- Researching and analysing historical exploration data;
- Gathering exploration data through topographical, geo-chemical and geo-physical studies;
- Exploratory drilling, trenching, and sampling;
- Determining and examining the volume and grade of the resource;
- Surveying transportation and infrastructure requirements;
- Conducting market and finance studies.

The above includes employee remuneration, cost of materials and fuel used, payments to contractors etc.

As the intangible component represents an insignificant/ indistinguishable portion of the overall expected tangible costs to be incurred and recouped from future exploitation, these costs along with other capitalised exploration costs are recorded as exploration and evaluation assets.

Exploration and evaluation costs are capitalised on a project-by-project basis pending the determination of technical feasibility and commercial viability of the project and disclosed as a separate line item under non-current assets. They are subsequently measured at cost less accumulated impairment/provision.

Once proved reserves are determined and the development of mines/projects are sanctioned, exploration and evaluation assets are transferred to "Development" under capital work in progress. However, if proved reserves are not determined, the exploration and evaluation asset is derecognised.

2.11 Development Expenditure

When proved reserves are determined and the development of mines/projects are sanctioned, capitalised exploration and evaluation cost is recognised as assets



under construction and disclosed as a component of capital work in progress under the head "Development". All subsequent development expenditure is also capitalised. The development expenditure capitalised is net of proceeds from the sale of coal extracted during the development phase.

Commercial Operation

The project/mines are brought to revenue; when commercial readiness of a project/mine to yield production on a sustainable basis is established either on the basis of conditions specifically stated in the project report or on the basis of the following criteria:

- From the beginning of the financial year immediately after the year in which the project achieves physical output of 25% of rated capacity as per the approved project report, or
- 2 years of touching coal, or
- From the beginning of the financial year in which the value of production is more than total, expenses.

Whichever event occurs first;

On being brought to revenue, the assets under capital work in progress are reclassified as a component of property, plant, and equipment under the nomenclature "Other Mining Infrastructure". Other Mining infrastructures are amortised from the year when the mine is brought under revenue in 20 years or the working life of the project whichever is less.

2.12 Intangible Assets and Amortisation

Intangible assets acquired separately are measured on initial recognition at cost. Cost includes any directly attributable expenses necessary to make the assets ready for its intended use. After initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses.

Subsequent expenditure is recognized as an increase in the carrying amount of the asset when it is probable that future economic benefits deriving from the cost incurred will flow to the Group and the cost of the item can be measured reliably.

An item of Intangible asset is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Gains or losses arising from the

derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit and Loss when the asset is derecognised.

Internally generated intangibles, excluding capitalised development costs, are not capitalised. Instead, the related expenditure is recognised in the statement of profit and loss and other comprehensive income in the period in which the expenditure is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite lives are amortised over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit and loss. Amortisation of intangible asset is provided on straight line basis over the estimated useful lives of the intangible asset as follows:

Intangible Assets	Useful Life
SAP/ERP	: 6 years
Other Computer Software	: License period
Rail Corridor contract	: Life as per MoU contract period

An intangible asset with an indefinite useful life is not amortised but is tested for impairment at each reporting date.

Exploration and Evaluation assets attributable to blocks identified for sale or proposed to be sold to outside agencies (i.e. for blocks not earmarked for CIL) are however, classified as Intangible Assets and tested for impairment.



Expenditure on research is charged to expenditure as and when incurred. Expenditure on development is capitalized only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the Group intends to & has sufficient resources to complete development and to use or sell the asset.

2.13 Impairment of Assets (other than financial assets)

The Group assesses at the end of each reporting period whether there is any indication that an asset may be impaired. If any such indication exists, the Group estimates the recoverable amount of the asset. An asset's recoverable amount is the higher of the asset's or cash-generating unit's value in use and its fair value less costs of disposal, and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets, in which case the recoverable amount is determined for the cash-generating unit to which the asset belongs. The group considers individual mines as separate cash-generating units for the purpose of a test of impairment.

If the recoverable amount of an asset is estimated to be less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount and the impairment loss is recognised in the Statement of Profit and Loss.

2.14 Investment Property

Property (land or a building or part of a building or both) held to earn rentals or for capital appreciation or both, rather than for, use in the production or supply of goods or services or for administrative purposes; or sale in the ordinary course of businesses are classified as an investment property.

Investment property is measured initially at its cost, including related transaction costs and where applicable borrowing costs.

Investment properties are depreciated using the straight-line method over their estimated useful lives.

2.15 Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

2.15.1 Financial assets

2.15.1 Initial recognition and measurement

All financial assets are recognised initially at fair value, in the case of financial assets not recorded at fair value through profit or loss, plus transaction costs that are attributable to the acquisition of the financial asset. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset. However, trade receivables that do not contain a significant financing component are measured at transaction price.

2.15.2 Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Debt instruments at amortised cost
- Debt instruments at fair value through other comprehensive income (FVTOCI)
- Debt instruments, derivatives and equity instruments at fair value through profit or loss (FVTPL)
- Equity instruments measured at fair value through other comprehensive income (FVTOCI)

2.15.2.1 Debt instruments at amortised cost

A 'debt instrument' is measured at the amortised cost if both the following conditions are met:

- a) The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and
- b) Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income



in the profit or loss. The losses arising from impairment are recognised in the profit or loss.

2.15.2.2 Debt instrument at FVTOCI

A 'debt instrument' is classified as at the FVTOCI if both of the following criteria are met:

- a) The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets, and
- b) The asset's contractual cash flows represent SPPI.

Debt instruments included within the FVTOCI category are measured initially as well as at each reporting date at fair value. Fair value movements are recognized in the other comprehensive income (OCI). However, the Group recognizes interest income, impairment losses & reversals and foreign exchange gain or loss in the P&L. On derecognition of the asset, cumulative gain or loss previously recognised in OCI is reclassified from the equity to P&L. Interest earned whilst holding FVTOCI debt instrument is reported as interest income using the EIR method.

2.15.2.3 Debt instrument at FVTPL

FVTPL is a residual category for debt instruments. Any debt instrument, which does not meet the criteria for categorization as at amortized cost or as FVTOCI, is classified as at FVTPL.

In addition, the Group may elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as at FVTPL. However, such election is allowed only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch'). The Group has not designated any debt instrument as at FVTPL.

Debt instruments included within the FVTPL category are measured at fair value with all changes recognized in the P&L.

2.15.2.4 Equity investments in subsidiaries, associates and Joint Ventures

In accordance of Ind AS 101 (First time adoption of Ind AS), the carrying amount of these investments as per previous GAAP as on the date of transition is considered to be the deemed cost. Subsequently Investment in subsidiaries, associates and joint ventures are measured at cost.

In case of consolidated financial statement, Equity investments in associates and joint ventures are accounted as per equity method as prescribed in para 10 of Ind AS 28.

2.15.2.5 Other Equity Investment

All other equity investments in scope of Ind AS 109 are measured at fair value through profit or loss.

The Group may make an irrevocable election to present in other comprehensive income subsequent changes in the fair value. The Group makes such election on an instrument by-instrument basis. The classification is made on initial recognition and is irrevocable.

All fair value changes of an equity instrument classified at FVTOCI, are recognized in OCI. There is no subsequent reclassification of fair value gains and losses to the Statement of Profit and Loss. However, the Group may transfer the cumulative gain or loss within equity. Dividends from such investments are recognised in the Statement of Profit and Loss as "other income" when the Group's right to receive payments is established.

Equity instruments included within the FVTPL category are measured at fair value with all changes recognized in the P&L.

2.15.2.6 Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e. removed from the balance sheet) when:

- The rights to receive cash flows from the asset have expired, or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has



neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the transferred asset to the extent of the Group's continuing involvement. In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

2.15.2.7 Impairment of financial assets (other than fair value)

In accordance with Ind AS 109, the Group applies expected credit loss (ECL) model for measurement and recognition of impairment loss on the following financial assets and credit risk exposure:

- a) Financial assets that are debt instruments, and are measured at amortised cost e.g., loans, debt securities, deposits, trade receivables and bank balance
- b) Financial assets that are debt instruments and are measured as at FVTOCI
- c) Lease receivables under Ind AS 116
- d) Trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 115.

The Group follows 'simplified approach' for recognition of impairment loss allowance on:

- Trade receivables or contract revenue receivables; and
- All lease receivables resulting from transactions within the scope of Ind AS 116

The application of simplified approach does not require the Group to track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.

2.15.3 Financial liabilities

2.15.3.1 Initial recognition and measurement

The Group's financial liabilities include trade and other

payables, loans and borrowings including bank overdrafts.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

2.15.3.2 Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

2.15.3.3 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Group that are not designated as hedging instruments in hedge relationships as defined by Ind AS 109. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognised in the profit or loss.

2.15.3.4 Financial liabilities at amortised cost

After initial recognition, these are subsequently measured at amortised cost using the effective interest rate method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the effective interest rate amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate. The effective interest rate amortisation is included as finance costs in the statement of profit and loss.

2.15.3.5 Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference between the carrying



amount of a financial liability (or part of a financial liability) extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, shall be recognised in profit or loss.

2.15.4 Reclassification of financial assets

The Group determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model

for managing those assets. Changes to the business model are expected to be infrequent. The Group's senior management determines change in the business model as a result of external or internal changes which are significant to the Group's operations. Such changes are evident to external parties. A change in the business model occurs when the Group either begins or ceases to perform an activity that is significant to its operations. If Group reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Group does not restate any previously recognised gains, losses (including impairment gains or losses) or interest.

The following table shows various reclassification and how they are accounted for

Original classification	Revised classification	Accounting treatment
Amortised cost	FVTPL	Fair value is measured at reclassification date. Difference between previous amortized cost and fair value is recognised in P&L.
FVTPL	Amortised Cost	Fair value at reclassification date becomes its new gross carrying amount. EIR is calculated based on the new gross carrying amount.
Amortised cost	FVTOCI	Fair value is measured at reclassification date. Difference between previous amortised cost and fair value is recognised in OCI. No change in EIR due to reclassification.
FVTOCI	Amortised cost	Fair value at reclassification date becomes its new amortised cost carrying amount. However, cumulative gain or loss in OCI is adjusted against fair value. Consequently, the asset is measured as if it had always been measured at amortised cost.
FVTPL	FVTOCI	Fair value at reclassification date becomes its new carrying amount. No other adjustment is required.
FVTOCI	FVTPL	Assets continue to be measured at fair value. Cumulative gain or loss previously recognized in OCI is reclassified to P&L at the reclassification date.

2.15.5 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

2.15.6 Fair value measurement of financial instruments

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date under current market conditions.

The Group categorizes assets and liabilities measured at fair value into one of three levels depending on the ability to observe inputs employed for such measurement:

- Level 1: inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included within level 1 that are observable either directly or indirectly for the asset or liability.
- Level 3: inputs for the asset or liability which are not based on observable market data (unobservable inputs).



The Group has an established control framework with respect to the measurement of fair values. This includes a finance team that has overall responsibility for overseeing all significant fair value measurements who regularly review significant unobservable inputs, valuation adjustments and fair value hierarchy under which the valuation should be classified.

2.15.7 Cash and Cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks and on hand and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value. For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Group's cash management.

2.16. Borrowing Costs

Borrowing costs are expensed as and when incurred except where they are directly attributable to the acquisition, construction or production of qualifying assets i.e. the assets that necessarily takes substantial period of time to get ready for its intended use, in which case they are capitalised as part of the cost of related asset up to the date when the qualifying asset is ready for its intended use.

2.17 Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current tax is the amount of income taxes payable (recoverable) in respect of the taxable profit (tax loss) for a period. Taxable profit differs from "profit before income tax" as reported in the statement of profit and loss and other comprehensive income because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary difference to the extent that it is probable that taxable profits will be available against which those deductible

temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred tax liabilities are recognised for taxable temporary differences associated with investments in subsidiaries and associates, except where the Group is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Unrecognised deferred tax assets are reassessed at the end of each reporting year and are recognised to the extent that it has become probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset is realised, based on tax rate (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.



Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities, and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

2.18 Employee Benefits

2.18.1 Short-term Benefits

Short-term employee benefits are employee benefits (other than termination benefits) that are expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related service.

All short-term employee benefits are recognized in the period in which the services are rendered by employees.

2.18.2 Post-employment benefits and other long term employee benefits

2.18.2.1 Defined contributions plans

A defined contribution plan is a post-employment benefit plan under which the Group pays a fixed contribution into a fund maintained by a separate body and the Group will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the statement of profit and loss in the periods during which services are rendered by employees.

2.18.2.2 Defined benefits plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Group's net obligation in respect of defined benefit plans is calculated by estimating the amount of future benefit that employees have earned in return of their service in the current and prior periods. The benefit is discounted to determine its present value and reduced by the fair value of plan assets, if any. The discount rate is based on the prevailing market yields of Indian Government securities as at the reporting date that have maturity dates approximating the terms of the Group's obligations and that are denominated in the same currency in which the benefits are expected to be paid.

The application of actuarial valuation involves making assumptions about the discount rate, expected rates of

return on assets, future salary increases, mortality rates etc. Due to the long-term nature of these plans, such estimates are subject to uncertainties. The calculation is performed at each balance sheet by an actuary using the projected unit credit method. When the calculation results in the benefit to the Group, the recognised asset is limited to the present value of the economic benefits available in the form of any future refunds from the plan or reduction in future contributions to the plan. An economic benefit is available to the Group if it is realisable during the life of the plan, or on settlement of plan liabilities.

Re-measurement of the net defined benefit liability, which comprises actuarial gain and losses considering the return on plan assets (excluding interest) and the effects of the assets ceiling (if any, excluding interest) are recognised immediately in the other comprehensive income. The Group determines the net interest expense (income) on the net defined benefit liability (asset) for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the then net defined benefit liability (asset), taking into account any changes in the net defined benefit liability (asset) during the period as a result of contributions and benefit payments. Net interest expense and other expenses related to defined benefit plans are recognised in profit and loss.

When the benefits of the plan are improved, the portion of the increased benefit relating to past service by employees is recognised as an expense immediately in the statement of profit and loss.

2.18.3 Other long-term employee benefits

Other long-term employee benefits are all employee benefits other than short-term employee benefits, post-employment benefits and termination benefits.

Other long-term employee benefits include items which are not expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related service.

For other long-term employee benefits, net total of the following amounts is recognized in the statement of profit or loss:

- a) Service cost
- b) Net interest on the net defined benefit liability (asset)



- c) Re-measurements of the net defined benefit liability (asset)

2.19 Foreign Currency

Transactions in foreign currencies are converted into the reported currency of the Group using the exchange rate prevailing at the transaction date. Monetary assets and liabilities denominated in foreign currencies outstanding at the end of the reporting period are translated at the exchange rates prevailing as at the end of reporting period. Exchange differences arising on the settlement of monetary assets and liabilities or on translating monetary assets and liabilities at rates different from those at which they were translated on initial recognition during the period or in previous financial statements are recognised in statement of profit and loss in the period in which they arise.

Non-monetary items denominated in foreign currency are valued at the exchange rates prevailing on the date of transactions.

2.20 Stripping Activity

The process of removing overburden to access coal is referred to as stripping. Stripping is necessary to obtain access to coal and occurs throughout the life of an opencast mine. Stripping costs during development and production phases are classified as other mining infrastructure in property, plant, and equipment. Stripping costs are accounted for separately for individual mines.

The Group accounts for stripping activities as follows:

Stripping costs during the Development phase:

These are initial overburden removal costs incurred to obtain access to coal to be extracted. These costs are capitalised when it is probable that future economic benefits will flow to the Group and costs can be measured reliably. Once the production phase begins, capitalised development stripping costs are amortised over the mine life.

Stripping costs during the production phase:

These are overburden removal costs incurred after the mine has been brought to revenue as per the policy of the group. Stripping costs during the production phase can give rise to two benefits, the extraction of coal in the current period and improved access to coal which will be extracted in future periods. Stripping costs

during the production phase are allocated between the inventory produced and the stripping activity asset using a standard strip ratio (overburden-to-coal). The standard strip ratio is the total volume of overburden expected to be removed over the life of the mine against the total coal to be extracted over the life of the mine. When the actual volume of overburden removed is greater than the expected volume of overburden removal, the stripping cost for excess overburden removed over the expected overburden removal is capitalised to the stripping activity asset. The stripping activity asset is amortised over the expected useful life of the mine. Changes in geo-mining conditions may have an impact on the standard strip ratio. Changes to the ratio are accounted for prospectively. Stripping activity asset are shown separately under Property, plant, and equipment.

Stripping activity asset for stripping costs during the production phase are recognised in the mines with a rated capacity of one million tonnes per annum and above.

2.21 Inventories

2.21.1 Stock of Coal

Inventories of coal/coke are stated at lower of cost and net realisable value. The cost of inventories are calculated using the Weighted Average method. Net realisable value represents the estimated selling price of inventories less all estimated costs of completion and costs necessary to make the sale.

Book stock of coal is considered in the accounts where the variance between book stock and measured stock is up to +/- 5% and in cases where the variance is beyond +/- 5% the measured stock is considered. Such stocks are valued at net realisable value or cost whichever is lower. Coke is considered as a part of the stock of coal.

Coal & coke-fines are valued at lower of cost or net realisable value and considered as a part of the stock of coal.

Slurry (coking/semi-coking), middling of washeries, and by products are valued at net realisable value and considered as a part of the stock of coal.

2.21.2 Stores, Spares, and Other Inventories

The Stock of stores and spares including other inventories are valued at cost calculated on the basis of the weighted average method.



Provisions are made at the rate of 100% for unserviceable, damaged and obsolete stores and spares and at the rate of 50% for stores & spares not moved for 5 years.

2.22 Provisions, Contingent Liabilities and Contingent Assets

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of economic benefits will be required .

to settle the obligation and a reliable estimate of the amount of the obligation can be made. Where the time value of money is material, provisions are stated at the present value of the expenditure expected to settle the obligation.

All provisions are reviewed at each balance sheet date and adjusted to reflect the current best estimate.

Where it is not probable that an outflow of economic benefits will be required, or the amount cannot be estimated reliably, the obligation is disclosed as a contingent liability, unless the probability of outflow of economic benefits is remote. Possible obligations, whose existence will only be confirmed by the occurrence or non-occurrence of one or more future uncertain events not wholly within the control of the Group, are also disclosed as contingent liabilities unless the probability of outflow of economic benefits is remote.

Contingent assets are possible assets that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group. Contingent assets are disclosed in the financial statements when inflow of economic benefits is probable on the basis of the judgment of management. These are assessed continually to ensure that developments are appropriately reflected in the financial statements.

2.23 Earnings per share

Basic earnings per share are computed by dividing the net profit after tax by the weighted average number of equity shares outstanding during the period. Diluted earnings per shares is computed by dividing the profit after tax by the weighted average number of equity shares considered for deriving basic earnings per shares and also the weighted average number of equity shares that could have been

issued upon conversion of all dilutive potential equity shares.

2.24 Stripping activity provision (Ratio Variance)

Stripping activity provision recognized earlier is based on the policy followed consistently by CIL since its inception. Stripping activity provision was recognized or reversed based on the current ratio of OB to Coal as compared to the average Stripping ratio (Standard ratio) of the mine. This accounting method has been substantiated and validated by a multitude of authoritative bodies and forums, including income tax authorities.

The carrying amount of the stripping activity provision is reversed systematically whenever the situation of reversal arises on extraction of actual volume of overburden over expected volume thereof. Such reversal is specific to mines at the rate the said provision has been recognized.

2.25 Judgements, Estimates and Assumptions

The preparation of the financial statements in conformity with Ind AS requires management to make estimates, judgments, and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of financial statements and the amount of revenue and expenses during the reported period. Application of accounting policies involving complex and subjective judgements and the use of assumptions in these financial statements have been disclosed. Accounting estimates could change from period to period. Actual results could differ from those estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and, if material, their effects are disclosed in the notes to the financial statements.

2.25.1 Judgements

In the process of applying the Group's accounting policies, management has made the following judgments, which have the most significant effect on the amounts recognised in the financial statements:

2.25.1.1 Formulation of Accounting Policies

Accounting policies are formulated in a manner that results in financial statements containing relevant and reliable information about the transactions, other events and

